The Companies (Acceptance of Deposits) Rules, 2014

MINISTRY OF CORPORATE AFFAIRS
NOTIFICATION
New Delhi, the 31st March, 2014

[Amended upto date[1]]

G.S.R 256 (E).—In exercise of the powers conferred by clause (31) of section 2, section 73 and section 76 read with sub-sections (1) and (2) of section 469 of the Companies Act, 2013 (18 of 2013), and in supersession of the Companies (Acceptance of Deposits) Rules, 1975 or any other rules prescribed under the Companies Act, 1956 (1 of 1956) on matters covered under these rules except as respects things done or omitted to be done before such supersession, the Central Government, in consultation with the Reserve Bank of India, hereby makes the following rules, namely: —

1. Short title, commencement and application.- (1) These rules may be called the Companies (Acceptance of Deposits) Rules, 2014.

(2) They shall come into force on the 1st day of April, 2014.

(3) These rules shall apply to a company other than -

(i) a banking company;

(ii) a non-banking financial company as defined in the Reserve Bank of India Act, 1934 (2 of 1934) registered with the Reserve Bank of India;

(iii) a housing finance company registered with the National Housing Bank established under the National Housing Bank Act, 1987 (53 of 1987); and

(iv) a company specified by the Central Government under the proviso to sub-section (1) of section 73 of the Act.

2. Definitions.- (1) In these rules, unless the context otherwise requires,-

(a) "**Act**" means the Companies Act, 2013 (18 of 2013);

(b) "**Annexure**" means the Annexure attached to these rules;

(c) "**deposit**" includes any receipt of money by way of deposit or loan or in any other form, by a company, but does not include -

(i) any amount received from the Central Government or a State Government, or any amount received from any other source whose repayment is guaranteed by the Central Government or a State Government, or any amount received from a local authority, or any amount received from a statutory authority constituted under an Act of Parliament or a State Legislature;

(ii) any amount received from foreign Governments, foreign or international banks, multilateral financial institutions (including, but not limited to, International Finance Corporation, Asian Development Bank, Commonwealth Development Corporation and International Bank for Industrial and Financial Reconstruction), foreign Governments owned development financial institutions, foreign export credit agencies, foreign collaborators, foreign bodies corporate and foreign citizens, foreign authorities or persons resident outside India subject to the provisions of Foreign Exchange Management Act, 1999 (42 of 1999) and rules and regulations made thereunder;

(iii) any amount received as a loan or facility from any banking company or from the State Bank of India or any of its subsidiary banks or from a banking institution notified by the Central Government under section 51 of the Banking Regulation. Act, 1949 (10 of 1949), or a corresponding new bank as defined in clause (d) of section 2 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 (5 of 1970) or in clause (b) of section (2) of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980 (40 of 1980), or from a co-operative bank as defined in clause (b-ii) of section 2 of the Reserve Bank of India Act, 1934 (2 of 1934);

(iv) any amount received as a loan or financial assistance from Public Financial Institutions notified by the Central Government in this behalf in consultation with the Reserve Bank of India or any regional financial institutions or Insurance Companies or Scheduled Banks as defined in the Reserve Bank of India Act, 1934 (2 of 1934);

(v) any amount received against issue of commercial paper or any other instruments issued in accordance with the guidelines or notification issued by the Reserve Bank of India;

(vi) any amount received by a company from any other company;

(vii) any amount received and held pursuant to an offer made in accordance with the provisions of the Act towards subscription to any securities, including share application money or advance towards allotment of securities pending allotment, so long as such amount is appropriated only against the amount due on allotment of the securities applied for;

Explanation.- For the purposes of this sub-clause, it is hereby clarified that -

(a) Without prejudice to any other liability or action, if the securities for which application money or advance for such securities was received cannot be allotted within sixty days from the date of receipt of the application money or advance for such securities and such application money or advance is not refunded to the subscribers within fifteen days from the date of completion of sixty days, such amount shall be treated as a deposit under these rules.

[2][Provided that unless otherwise required under the Companies Act, 1956 (1 of 1956) or the Securities and Exchange Board of India Act, 1992 (15 of 1992) or rules or regulations made thereunder to allot any share, stock, bond, or debenture within a specified period, if a company had received any amount by way of subscriptions to any shares, stock, bonds or debentures before the 1st April, 2014 and disclosed it in the balance sheet for the financial year ending on or before the 31st March, 2014 against which the allotment is pending on the 31st March, 2015, the company shall, by the 1st June 2015, either return such amounts to the persons from whom these were received or allot shares, stock, bonds or debentures or comply with these rules.]

(b) any adjustment of the amount for any other purpose shall not be treated as refund.

[3][**(viii)** any amount received from a person who, at the time of the receipt of the amount, was a director of the company or a relative of the director of the private company:

Provided that the director of the company or relative of the director of the private company, as the case may be, from whom money is received, furnishes to the company at the time of giving the money, a declaration in writing to the effect that the amount is not being given out of funds acquired by him by borrowing or accepting loans or deposits from others and the company shall disclose the details of money so accepted in the Board's report;]

(ix) any amount raised by the issue of bonds or debentures secured by a first charge or a charge ranking *pari passu* with the first charge on any assets referred to in Schedule III of the Act excluding intangible assets of the company or bonds or debentures compulsorily convertible into shares of the company within [4][ten years]:

Provided that if such bonds or debentures are secured by the charge of any assets referred to in Schedule III of the Act, excluding intangible assets, the amount of such bonds or debentures shall not exceed the market value of such assets as assessed by a registered valuer;

[5][**(ixa)** any amount raised by issue of non-convertible debenture not constituting a charge on the assets of the company and listed on a recognised stock exchange as per applicable regulations made by Securities and Exchange Board of India.]

(x) any amount received from an employee of the company not exceeding his annual salary under a contract of employment with the company in the nature of non-interest bearing security deposit;

[6][**(xi)** any non-interest bearing amount received and held in trust;]

(xii) any amount received in the course of, or for the purposes of, the business of the company,-

(a) as an advance for the supply of goods or provision of services accounted for in any manner whatsoever provided that such advance is appropriated against supply of goods or provision of services within a period of three hundred and sixty five days from the date of acceptance of such advance:

Provided that in case of any advance which is subject matter of any legal proceedings before any court of law, the said time limit of three hundred and sixty five days shall not apply:

(b) as advance, accounted for in any manner whatsoever, received in connection with [7][consideration for an immovable property] under an agreement or arrangement, provided that such advance is adjusted [8][against such property] in accordance with the terms of agreement or arrangement;

(c) as security deposit for the performance of the contract for supply of goods or provision of services;

(d) as advance received under long term projects for supply of capital goods except those covered under item (b) above:

[9][(e) as an advance towards consideration for providing future services in the form of a warranty or maintenance contract as per written agreement or arrangement, if the period for providing such services does not exceed the period prevalent as per common business practice or five years, from the date of acceptance of such service whichever is less;

(f) as an advance received and as allowed by any sectoral regulator or in accordance with directions of Central or State Government;

(g) as an advance for subscription towards publication, whether in print or in electronic to be adjusted against receipt of such publications;]

Provided that if the amount received under items (a), (b) and (d) above becomes refundable (with or without interest) due to the reasons that

the company accepting the money does not have necessary permission or approval, wherever required, to deal in the goods or properties or services for which the money is taken, then the amount received shall be deemed to be a deposit under these rules:

Explanation.- For the purposes of this sub-clause the amount [10][[11][**]] shall be deemed to be deposits on the expiry of fifteen days from the date they become due for refund.

(xiii) any amount brought in by the promoters of the company by way of unsecured loan in pursuance of the stipulation of any lending financial institution or a bank subject to fulfillment of the following conditions, namely:-

(a) the loan is brought in pursuance of the stipulation imposed by the lending institutions on the promoters to contribute such finance;

(b) the loan is provided by the promoters themselves or by their relatives or by both; and

(c) the exemption under this sub-clause shall be available only till the, loans of financial institution or bank are repaid and not thereafter;

(xiv) any amount accepted by a Nidhi company in accordance with the rules made under section 406 of the Act.

Explanation.- For the purposes of this clause, any amount.-

(a) received by the company, whether in the form of instalments or otherwise, from a person with promise or offer to give returns, in cash or in kind, on completion of the period specified in the promise or offer, or earlier, accounted for in any manner whatsoever, or

(b) any additional contributions, over and above the amount under item (a) above, made by the company as part of such promise or offer,

[12][shall be considered as deposits unless specifically excluded under this clause];

[13][**(xv)** any amount received by way of subscription in respect of a chit under the Chit Fund Act, 1982 (40 of 1982);

(xvi) any amount received by the company under any collective investment scheme in compliance with regulations framed by the Securities and Exchange Board of India;

(xvii) an amount of twenty five lakh rupees or more received by a start-up company, by way of a convertible note (convertible into equity shares or repayable within a period not exceeding [14][ten years] from the date of issue) in a single tranche, from a person.

Explanation.- For the purposes of this sub-clause,-

I. "**start-up company**" means a private company incorporated under the Companies Act, 2013 or Companies Act, 1956 and recognised as such in accordance with notification number [15][G.S.R. 127 (E), dated the 19th February, 2019 issued by the Department for Promotion of Industry and Internal Trade];

II. "**convertible note**" means an instrument evidencing receipt of money initially as a debt, which is repayable at the option of the holder, or which is convertible into such number of equity shares of the start-up company upon occurrence of specified events and as per the other terms and conditions agreed to and indicated in the instrument.

(xviii) any amount received by a company from Alternate Investment Funds, Domestic Venture Capital Funds[16][, Infrastructure Investment Trusts][17][, Real Estate Investment Trusts] and Mutual Funds registered with the Securities and Exchange Board of India in accordance with regulations made by it.]

(d) "**depositor**" means,-

(i) any member of the company who has made a deposit with the

company in accordance with the provisions of sub-section (2) of section 73 of the Act, or

(ii) any person who has made a deposit with a public company in accordance with the provisions of section 76 of the Act;

(e) "**eligible company**" means a public company as referred to in sub-section (1) of section 76, having a net worth of not less than one hundred crore rupees or a turnover of not less than five hundred crore rupees and which has obtained the prior consent of the company in general meeting by means of a special resolution and also filed the said resolution with the Registrar of Companies before making any invitation to the Public for acceptance of deposits:

Provided that an eligible company, which is accepting deposits within the limits specified under clause (c) of sub-section (1) of section 180, may accept deposits by means of an ordinary resolution;

(f) "**fees**" means fees as specified in the Companies (Registration Offices and Fees) Rules, 2014;

(g) "**Form**" or "**e-Form**" means a form set forth in Annexure to these rules which shall be used for the matter to which it relates;

(h) "**section**" means section of the Act;

(i) "**trustee**" means the trustee as defined in section 3 of the Indian Trusts Act, 1882 (12 of 1882).

(2) Words and expressions used in these rules but not defined and defined in the Act or in the Reserve Bank of India Act, 1934 (2 of 1934) or in the Companies (Specification of definitions details) Rules, 2014, shall have the meanings respectively assigned to them in the said Acts or in the said rules.

3. Terms and conditions of acceptance of deposits by companies.- (1) On and from the commencement of these rules,—

(a) no company referred to in sub-section (2) of section 73 and no eligible company shall accept or renew any deposit, whether secured

or unsecured, which is repayable on demand or upon receiving a notice within a period of less than six months or more than thirty-six months from the date of acceptance or renewal of such deposit:

Provided that a company may, for the purpose of meeting any of its short-term requirements of funds, accept or renew such deposits for repayment earlier than six months from the date of deposit or renewal, as the case may be, subject to the condition that-

(a) such deposits shall not exceed ten per cent. of the aggregate of the [18][paid-up share capital, free reserves and securities premium account] of the company, and

(b) such deposits are repayable not earlier than three months from the date of such deposits or renewal thereof.

(2) Where depositors so desire, deposits may be accepted in joint names not exceeding three, with or without any of the clauses, namely, "Jointly", "Either or Survivor", "First named or Survivor", "Anyone or Survivor".

(3) No company referred to in sub-section (2) of section 73 shall accept or renew any deposit from its members, if the amount of such deposits together with the amount of other deposits outstanding as on the date of acceptance or renewal of such deposits exceeds [19][thirty five per cent.] of the aggregate of the [20][paid-up share capital, free reserves and securities premium account] of the company.

[21][[22][Provided that a Specified IFSC Public company and a private company may accept from its members monies not exceeding one hundred per cent. of aggregate of the paid up share capital, free reserves and securities premium account and such company shall file the details of monies so accepted to the Registrar in **Form DPT-3**.

Explanation.— For the purpose of this rule, a Specified IFSC Public company means an unlisted public company which is licensed to operate by the Reserve Bank of India or the Securities and Exchange Board of India or the Insurance Regulatory and Development Authority of India from the International Financial Services Centre located in an approved multi

services Special Economic Zone set-up under the Special Economic Zones Act, 2005 (28 of 2005) read with the Special Economic Zones Rules, 2006:

Provided further that the maximum limit in respect of deposits to be accepted from members shall not apply to following classes of private companies, namely:—

(i) a private company which is a start-up, for [23][ten years] from the date of its incorporation;

(ii) a private company which fulfils all of the following conditions, namely:—

(a) which is not an associate or a subsidiary company of any other company;

(b) the borrowings of such a company from banks or financial institutions or any body corporate is less than twice of its paid up share capital or fifty crore rupees, whichever is less ; and

(c) such a company has not defaulted in the repayment of such borrowings subsisting at the time of accepting deposits under section 73:

Provided also that all the companies accepting deposits shall file the details of monies so accepted to the Registrar in **Form DPT-3**.]]

(4) No eligible company shall accept or renew-

(a) any deposit from its members, if the amount of such deposit together with the amount of deposits outstanding as on the date of acceptance or renewal of such deposits from members exceeds ten per cent. of the aggregate of the [24][paid-up share capital, free reserves and securities premium account] of the company;

(b) any other deposit, if the amount of such deposit together with the amount of such other deposits, other than the deposit referred to in clause (a), outstanding on the date of acceptance or renewal exceeds twenty-five per cent. of aggregate of the [25][paid-up share capital, free

reserves and securities premium account] of the company.

(5) No Government company eligible to accept deposits under section 76 shall accept or renew any deposit, if the amount of such deposits together with the amount of other deposits outstanding as on the date of acceptance or renewal exceeds thirty five per cent. of the aggregate of its [26][paid-up share capital, free reserves and securities premium account] of the company.

(6) No company referred to in sub-section (2) of section 73 or any eligible company shall invite or accept or renew any deposit in any form, carrying a rate of interest or pay brokerage thereon at a rate exceeding the maximum rate of interest or brokerage prescribed by the Reserve Bank of India for acceptance of deposits by non-banking financial companies.

Explanation:- For the purposes of this sub-rule, it is hereby clarified that the person who is authorised, in writing, by a company to solicit deposits on its behalf and through whom deposits are actually procured shall only be entitled to the brokerage and payment of brokerage to any other person for procuring deposits shall be deemed to be in violation of these rules.

(7) The company shall not reserve to itself either directly or indirectly a right to alter, to the prejudice or disadvantage of the depositor, any of the terms and conditions of the deposit, deposit trust deed and deposit insurance contract after circular or circular in the form ,of advertisement is issued and deposits are accepted.

[27][[28][(8).- (a) Every eligible company shall obtain, at least once in a year, credit rating for deposits accepted by it and a copy of the rating shall be sent to the Registrar of Companies alongwith the return of deposits in **Form DPT-3**.

(b) The credit rating referred to in clause (a) shall not be below the minimum investment grade rating or other specified credit rating for fixed deposits, from any one of the approved credit rating agencies as specified for Non-Banking Financial Companies in the Non-Banking Financial Companies Acceptance of Public Deposits (Reserve Bank) Directions, 1998, issued by the Reserve Bank of India, as amended from time to time.]]

4. Form and particulars of advertisements or circulars.- (1) Every company referred to in sub-section (2) of section 73 intending to invite deposit from its members shall issue a circular to all its members by registered post with acknowledgement due or speed[post or by electronic mode in **Form DPT-1:**

Provided that in addition to issue of such circular to all members in the manner specified above, the circular may be published in English language in an English newspaper and in vernacular language in a vernacular newspaper having wide circulation in the State in which the registered office of the company is situated.

[29][Provided further that a certificate of the statutory auditor of the company shall be attached in **Form DPT-1**, stating that the company has not committed default in the repayment of deposits or in the payment of interest on such deposits accepted either before or after the commencement of the Act and in case a company had committed a default in the repayment of deposits accepted either before or after the commencement of the Act or in the payment of interest on such deposits, a certificate of the statutory auditor of the company shall be attached in **Form DPT-1**, stating that the company had made good the default and a period of five years has lapsed since the date of making good the default as the case may be.]

[30][(2) Every eligible company intending to invite deposits shall issue a circular in the form of an advertisement in **Form DPT-1** for the purpose in English language in an English newspaper having country wide circulation and in vernacular language in a vernacular newspaper having wide circulation in the State in which the registered office of the company is situated, and shall also place such circular on the website of the company, if any.]

(3) Every company inviting deposits from the public shall upload a copy of the circular on its website, if any.

(4) No company shall issue or allow any other person to issue or cause to be issued on its behalf, any circular or a circular in the form of advertisement inviting deposits, unless such circular or circular in the form of advertisement is issued on the authority and in the name of the Board of

directors of the company.

(5) No circular or a circular in the form of advertisement shall be issued by or on behalf of a company unless, not less than thirty days before the date of such issue, there has been delivered to the Registrar for registration a copy thereof signed by a majority of the directors of the company as constituted at the time the Board approved the circular or circular in the form of advertisement, or their agents, duly authorised by them in writing.

(6) A circular or circular in the form of advertisement issued shall be valid until the expiry of six months from the date of closure of the financial year in which it is issued or until the date on which the financial statement is laid before the company in annual general meeting or, where the annual general meeting for any year has not been held, the latest day on which that meeting should have been held in accordance with the provisions of the Act, whichever is earlier, and a fresh circular or circular in the form of advertisement shall be issued, in each succeeding financial year, for inviting deposits during that financial year.

Explanation: For the purpose of this rule, the date of the issue of the newspaper in which the advertisement appears shall be taken as the date of issue of the advertisement and the effective date of issue of circular shall be the date of dispatch of the circular.

5. [31][***]

6. Creation of security.- (1) For the purposes of providing security, every company referred to in sub-section (2) of section 73 and every eligible company inviting secured deposits shall provide for security by way of a charge on its assets as referred to in Schedule III of the Act excluding intangible assets of the company for the due repayment of the amount of deposit and interest thereon for an amount which shall not be less than the amount remaining unsecured by the deposit insurance:

Provided that in the case of deposits which are secured by the charge on the assets referred to in Schedule III of the Act excluding intangible assets, the amount of such deposits and the interest payable thereon shall not exceed the market value of such assets as assessed by a registered valuer.

Explanation. I - For the purposes of this sub-rule it is clarified that the company shall ensure that the total value of the security either by way of deposit insurance or by way of charge or by both on company's assets shall not be less than the amount of deposits accepted and the interest payable thereon.

Explanation. II- For the purposes of proviso to sub-clause (ix) of clause (c) of sub-rule (1) of rule 2 and this sub-rule, it is hereby clarified that pending notification of sub-section (1) of section 247 of the Act and finalisation of qualifications and experience of valuers, valuation of stocks, shares, debentures, securities etc. shall be conducted by an independent merchant banker who is registered with the Securities and Exchange Board of India or an independent chartered accountant in practice having a minimum experience of ten years.

(2) The security (not being in the nature of a pledge) for deposits as specified in sub-rule (1) shall be created in favour of a trustee for the depositors on:

(a) specific movable property of the company, or

(b) specific immovable property of the company wherever situated, or any interest therein.

7. Appointment of trustee for depositors.- (1) No company referred to in sub-section (2) of section 73 or any eligible company shall issue a circular or advertisement inviting secured deposits unless the company has appointed one or more trustees for depositors for creating security for the deposits:

Provided that a written consent shall be obtained from the trustee for depositors before their appointment and a statement shall appear in the circular or circular in the form of advertisement with reasonable prominence to the effect that the trustees for depositors have given their consent to the company to be so appointed.

(2) The company shall execute a deposit trust deed in **Form DPT-2** at least seven days before issuing the circular or circular in the form of advertisement.

(3) No person including a company that is in the business of providing

trusteeship services shall be appointed as a trustee for the depositors, if the proposed trustee -

(a) is a director, key managerial personnel or any other officer or an employee of the company or of its holding, subsidiary or associate company or a depositor in the company;

(b) is indebted to the company, or its subsidiary or its holding or associate company or a subsidiary of such holding company;

(c) has any material pecuniary relationship with the company;

(d) has entered into any guarantee arrangement in respect of principal debts secured by the deposits or interest thereon;

(e) is related to any person specified in clause (a) above.

(4) No trustee for depositors shall be removed from office after the issue of circular or advertisement and before the expiry of his term except with the consent of all the directors present at a meeting of the board.

Provided that in case the company is required to have independent directors, at least one independent director shall be present in such meeting of the Board

8. Duties of trustees.- It shall be the duty of every trustee for depositors to-

(a) ensure that the assets of the company on which charge is created together with the amount of deposit insurance are sufficient to cover the repayment of the principal amount of secured deposits outstanding and interest accrued thereon;

(b) satisfy himself that the circular or advertisement inviting deposits does not contain any information which is inconsistent with the terms of the deposit scheme or with the trust deed and is in compliance with the rules and provisions of the Act;

(c) ensure that the company does not commit any breach of covenants and provisions of the trust deed;

(d) take such reasonable steps as may be necessary to procure a remedy for any breach of covenants of the trust deed or the terms of invitation of deposits;

(e) take steps to call a meeting of the holders of depositors as and when such meeting is required to be held;

(f) supervise the implementation of the conditions regarding creation of security for deposits and the terms of deposit insurance;

(g) do such acts as are necessary in the event the security becomes enforceable;

(h) carry out such acts as are necessary for the protection of the interest of depositors and to resolve their grievances.

9. Meeting of depositors.- The trustee for depositors shall call a meeting of all the depositors on-

(a) requisition in writing signed by at least one-tenth of the depositors in value for the time being outstanding;

(b) the happening of any event, which constitutes a default or which, in the opinion of the trustee for depositors, affects the interest of the depositors.

10. Form of application for deposits.- (1) On and from the commencement of these rules, no company shall accept, or renew any deposit, whether secured or unsecured, unless an application, in such form as specified by the company, is submitted by the intending depositor for the acceptance of such deposit.

(2) The form of application referred to in sub-rule (1) shall contain a declaration by the intending depositor to the effect that the deposit is not being made out of any money borrowed by him from any other person.

11. Power to nominate.- Every depositor may, at any time, nominate any person to whom his deposits shall vest in the event of his death and the provisions of section 72 shall, as far as may be, apply to the nomination

made under this rule.

12. Furnishing of deposit receipts to depositors.- (1) Every company shall, on the acceptance or renewal of a deposit, furnish to the depositor or his agent a receipt for the amount received by the company, within a period of twenty one days from the date of receipt of money or realisation of cheque or date of renewal.

(2) The receipt referred to in sub-rule (1) shall be signed by an officer of the company duly authorised by the Board in this behalf and shall state the date of deposit, the name and address of the depositor, the amount received by the company as deposit, the rate of interest payable thereon and the date on which the deposit is repayable.

13. Maintenance of liquid assets and creation of deposit repayment reserve account.- Every company referred to in sub-section (2) of section 73 and every eligible company shall on or before the 30th day of April of each year deposit the sum as specified in clause (c) of the said sub-section with any scheduled bank and the amount so deposited shall not be utilised for any purpose other than for the repayment of deposits:

[32][Provided that the amount remaining deposited shall not at any time fall below twenty per cent. of the amount of deposits maturing during the financial year.]

14. Registers of deposits.- (1) Every company accepting deposits shall maintain at its registered office one or more separate registers for deposits accepted or renewed, in which there shall be entered separately in the case of each depositor the following particulars, namely:—

(a) name, address and PAN of the depositor/s;

(b) particulars of guardian, in case of a minor;

(c) particulars of the nominee;

(d) deposit receipt number;

(e) date and the amount of each deposit;

(f) duration of the deposit and the date on which each deposit is repayable;

(g) rate of interest or such deposits to be payable to the depositor;

(h) due date for payment of interest;

(i) mandate and instructions for payment of interest and for non-deduction of tax at source, if any;

(j) date or dates on which the payment of interest shall be made;

(k) [33][***]

(l) particulars of security or charge created for repayment of deposits;

(m) any other relevant particulars;

(2) The entries specified in sub-rule (1) shall be made within seven days from the date of issuance of the receipt duly authenticated by a director or secretary of the company or by any other officer authorised by the Board for this purpose.

(3) The register referred to in sub-rule (1) shall be preserved in good order for a period of not less than eight years from the financial year in which the latest entry is made in the register.

15. General provisions regarding premature repayment of deposits.- Where a company makes a repayment of deposits, on the request of the depositor, after the expiry of a period of six months from the date of such deposit but before the expiry of the period for which such deposit was accepted, the rate of interest payable on such deposit shall be reduced by one per cent. from the rate which the company would have paid had the deposit been accented for the period for which such deposit had actually run and the company shall not pay interest at any rate higher than the rate so reduced:

Provided that nothing contained in this rule shall apply to the repayment of any deposit before the expiry of the period for which such deposit was

accepted by the company, if such repayment is made solely for the purpose of—

(a) complying with the provisions of rule 3; or

(b) providing war risk or other related benefits to the personnel of the naval, military or air forces or to their families, on an application made by the associations or societies formed by such personnel, during the period of emergency declared under article 352 of the Constitution :

Provided further that where a company referred to in under sub-section (2) of section 73 or any eligible company permits a depositor to renew his deposit, before the expiry of the period for which such deposit was accepted by the company, for availing of a higher rate of interest, the company shall pay interest to such depositor at the higher rate if such deposit is renewed in accordance with the other provisions of these rules and for a period longer than the unexpired period of the deposit.

Explanation: For the purposes of this rule, where the period for which the deposit had run contains any part of a year, then, if such part is less than six months, it shall be excluded and if such part is six months or more, it shall be reckoned as one year.

16. Return of deposits to be filed with the Registrar.- Every company to which these rules apply, shall on or before the 30th day of June, of every year, file with the Registrar, a return in **Form DPT-3** along with the fee as provided in Companies (Registration Offices and Fees) Rules, 2014 and furnish the information contained therein as on the 31st day of March of that year duly audited by the auditor of the company [34][and declaration to that effect shall be submitted by the auditor in Form DPT-3].

[35][*Explanation.*- It is hereby clarified that **Form DPT-3** shall be used for filing return of deposit or particulars of transaction not considered as deposit or both by every company other than Government company.]

[36][**16A. Disclosures in the financial statement.-** (1) Every company, other than a private company, shall disclose in its financial statement, by way of notes, about the money received from the director.

(2) Every private company shall disclose in its financial statement, by way of notes, about the money received from the directors, or relatives of directors.]

[37][(3) Every company other than Government company shall file a onetime return of outstanding receipt of money or loan by a company but not considered as deposits, in terms of clause (c) of sub-rule 1 of rule 2 from the 01st April, 2014 to [38][31st March, 2019], as specified in **Form DPT-3** within [39][ninety days from 31st March, 2019] along with fee as provided in the Companies (Registration Offices and Fees) Rules, 2014.]

17. Penal rate of interest.- Every company shall pay a penal rate of interest of eighteen per cent per annum for the overdue period in case of deposits, whether secured or unsecured, matured and claimed but remaining unpaid.

18. Power of Central Government to decide certain questions.- If any question arises as to the applicability of these rules to a particular company, such question shall be decided by the Central Government in consultation with the Reserve Bank of India.

19. Applicability of sections 73 and 74 to eligible companies.- Pursuant to provisions of sub-section (2) of section 76 of the Act, the provisions of sections 73 and 74 shall, mutatis mutandis, apply to acceptance of deposits from public by eligible companies.

Explanation.- For the purposes of this rule, it is hereby clarified that in case of a company which had accepted or invited public deposits under the relevant provisions of the Companies Act, 1956 and rules made under that Act (hereinafter known as "Earlier Deposits") and has been repaying such deposits and interest thereon in accordance with such provisions, the provisions of clause (b) of sub-section (1) of section 74 of the Act shall be deemed to have been complied with if the company complies with requirements under the Act and these rules and continues to repay such deposits and interest due thereon on due dates for the remaining period of such deposit in accordance with the terms and conditions and period of such Earlier Deposits and in compliance with the requirements under the Act and these rules;

Provided further that the fresh deposits by every eligible company shall have to be in accordance with the provisions of Chapter V of the Act and these rules;

20. Statement regarding deposits existing as on the date of commencement of the Act.- For the purposes of clause (a) of sub-section (1) of section 74, the statement shall be in **Form DPT-4.**

21. Punishment for contravention.- If any company referred to in sub-section (2) of section 73 or any eligible company inviting deposits or any other person contravenes any provision of these rules for which no punishment is provided in the Act, the company and every officer of the company who is in default shall be punishable with fine which may extend to five thousand rupees and where the contravention is a continuing one, with a further fine which may extend to five hundred rupees for every day after the first day during which the contravention continues.

[F. No. 1/8/2013-CL-V]
RENUKA KUMAR, Jt. Secy.

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1. Last amendment on 29.08.2022
2. Inserted by the the Companies (Acceptance of Deposits) Amendment Rules, 2015 vide Notification No. G.S.R. 241(E) dated 31st March, 2015, w.e.f. 31.03.2015.
3. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2015 vide Notification No. G.S.R. 695(E) dated 15th September, 2015, w.e.f. 15.09.2015, for the sub-clause:

> *"(viii) any amount received from a person who, at the time of the receipt of the amount, was a director of the company:*
>
> *Provided that the director from whom money is received, furnishes to the company at the time of giving the money, a declaration in writing to the effect that the amount is not being given out of funds acquired by him by borrowing or accepting loans or deposits from others;*".

4. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016, for the words "*five years*".
5. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016.
6. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016, for the sub-clause "*(xi) any non-interest bearing amount received or held in trust;*".
7. Substituted by the the Companies (Acceptance of Deposits) Amendment Rules, 2015 vide Notification No. G.S.R. 241(E) dated 31st March, 2015, w.e.f. 31.03.2015, for the words "*consideration for property*".
8. Substituted by the the Companies (Acceptance of Deposits) Amendment Rules, 2015 vide Notification No. G.S.R. 241(E) dated 31st March, 2015, w.e.f. 31.03.2015, for the words "*against the property*".
9. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016.
10. Substituted by the the Companies (Acceptance of Deposits) Amendment Rules, 2015 vide Notification No. G.S.R. 241(E) dated 31st March, 2015, w.e.f. 31.03.2015, for the words "*referred to in the first proviso*".
11. Omitted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016, the words "*referred to in the proviso*".
12. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016, for the words "*shall be treated as a deposit*".
13. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016.
14. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2020

vide Notification No. G.S.R. 548 (E) dated 7th September, 2020. w.e.f. 07.09.2020, for the words "*five years*".

15. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2020 vide Notification No. G.S.R. 548 (E) dated 7th September, 2020. w.e.f. 07.09.2020, for the words "*G.S.R. 180(E) dated 17th February, 2016 issued by the Department of Industrial Policy and Promotion, Ministry of Commerce and Industry*".
16. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2017 vide Notification No. G.S.R. 454(E) dated 11th May, 2017, w.e.f. 11.05.2017.
17. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2019 vide Notification No. G.S.R. 42(E) dated 22th January, 2019, w.e.f. 22.01.2019.
18. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2015 vide Notification No. G.S.R. 695(E) dated 15th September, 2015, w.e.f. 15.09.2015, for the words "*paid up share capital and free reserves*".
19. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016, for the words "*twenty five per cent.*".
20. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2015 vide Notification No. G.S.R. 695(E) dated 15th September, 2015, w.e.f. 15.09.2015, for the words "*paid up share capital and free reserves*".
21. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016.
22. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2017 vide Notification No. G.S.R. 1172(E) dated 19th September, 2017, w.e.f. 19.09.2017, for the proviso "*Provided that a private company may accept from its members monies not exceeding one hundred per cent of aggregate of the paid up share capital, free reserves and securities premium account and such company shall file the details of monies so accepted to the Registrar in such manner as may be specified.*".
23. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2020 vide Notification No. G.S.R. 548 (E) dated 7th September, 2020. w.e.f. 07.09.2020, for the words "*five years*".
24. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2015 vide Notification No. G.S.R. 695(E) dated 15th September, 2015, w.e.f. 15.09.2015, for the words "*paid up share capital and free reserves*".
25. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2015 vide Notification No. G.S.R. 695(E) dated 15th September, 2015, w.e.f. 15.09.2015, for the words "*paid up share capital and free reserves*".
26. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2015 vide Notification No. G.S.R. 695(E) dated 15th September, 2015, w.e.f. 15.09.2015, for the words "*paid up share capital and free reserves*".
27. Inserted by the the Companies (Acceptance of Deposits) Amendment Rules, 2015 vide Notification No. G.S.R. 241(E) dated 31st March, 2015, w.e.f. 31.03.2015.
28. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016, for the clause "(8) Every eligible company shall obtain, at least once in a year, credit rating for deposits accepted by it in the manner specified herein below and a copy of the rating shall be sent to the Registrar of Companies alongwith the return of deposits in **Form DPT-3**;

Name of the agency	Minimum investment Grade Rating
(a) The Credit Rating Information Services of India Ltd.	FA- (FA Minus)
(b) ICRA Ltd.	MA- (MA Minus)
(c) Credit Analysis and Research Ltd.	CARE BBB(FD)
(d) Fitch Ratings India Private Ltd.	tA-(ind)(FD)
(e) *[Brickwork Ratings India Pvt Ltd (Brickwork)]	*[BWR FBBB]
(f) SME Rating Agency of India Ltd.	SMERA A

Reference: *Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2015 vide Notification No. G.S.R. 695(E) dated 15th September, 2015, w.e.f. 15.09.2015, for the words "*Brickwork Ratings India Pvt. Ltd.*" and for "*BWR*".

29. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2018 vide Notification No. G.S.R. 612(E). dated 5th July, 2018, w.e.f. 15.08.2018.
30. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016, for the sub-rule "*(2) Every eligible company intending to invite deposits shall issue a circular in the form of an advertisement in **Form DPT-1** for the purpose in English language in an English newspaper and in vernacular language in one vernacular newspaper having wide circulation in the State in which the registered office of the company is situated.*".
31. Omitted by the Companies (Acceptance of Deposits) Amendment Rules, 2018 vide Notification No. G.S.R. 612(E). dated 5th July, 2018, w.e.f. 15.08.2018, the Rule-5:

"5. Manner and extent of deposit insurance.- (1) Every company referred to in sub-section (2) of section 73 and every other eligible company inviting deposits shall enter into a contract for providing deposit insurance at least thirty days before the issue of circular or advertisement or at least thirty days before the date of renewal, as the case may be.

[1][[2][[3][[4][Provided that the companies may accept deposits without deposit insurance contract till the 31st March, 2018 or till the availability of deposit insurance product, whichever is earlier.]]]]

Explanation- For the purposes of this sub-rule, the amount as specified in the deposit insurance contract shall be deemed to be the amount in respect of both principal amount and interest due thereon.

(2) The deposit insurance contract shall specifically provide that in case the company defaults in repayment of principal amount and interest thereon, the depositor shall be entitled to the repayment of principal amount of deposits and the interest thereon by the insurer up to the aggregate monetary ceiling as

specified in the contract:

Provided that in the case of any deposit and interest not exceeding twenty thousand rupees, the deposit insurance contract shall provide for payment of the full amount of the deposit and interest and in the case of any deposit and the interest thereon in excess of twenty thousand rupees, the deposit insurance contract shall provide for payment of an amount not less than twenty thousand rupees for each depositor.

(3) The amount of insurance premium paid on the insurance of such deposits shall be borne by the company itself and shall not be recovered from the depositors by deducting the same from the principal amount or interest payable thereon.

(4) If any default is made by the company in complying with the terms and conditions of the deposit insurance contract which makes the insurance cover ineffective, the company shall either rectify the default immediately or enter into a fresh contract within thirty days and in case of non-compliance, the amount of deposits covered under the deposit insurance contract and interest payable thereon shall be repaid within the next fifteen days and if such a company does not repay the amount of deposits within said fifteen days it shall pay fifteen per cent. interest per annum for the period of delay and shall be treated as having defaulted and shall be liable to be punished in accordance with the provisions of the Act."

Reference:

1. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2014 vide Notification No. G.S.R. 386(E) dated 6th June, 2014, w.e.f. 06.06.2014.

2. Substituted by the the Companies (Acceptance of Deposits) Amendment Rules, 2015 vide Notification No. G.S.R. 241(E) dated 31st March, 2015, w.e.f. 31.03.2015, for the proviso "*Provided that the companies may accept the deposits without deposit insurance contract till the 31st March, 2015.*".

3. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016, for the proviso "*Provided that the companies may accept deposits without deposit insurance contract till the 31st March, 2016 or till the availability of a deposit insurance product, whichever is earlier.*".

4. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2017 vide Notification No. G.S.R. 454(E) dated 11th May, 2017, w.e.f. 11.05.2017, for the proviso "*Provided that the companies may accept deposits without deposit insurance contract till the 31st March, 2017 or till the availability of a deposit insurance product, whichever is earlier.*".

32. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2018 vide Notification No. G.S.R. 612(E). dated 5th July, 2018, w.e.f. 15.08.2018, for the

proviso "*Provided that the amount remaining deposited shall not at any time fall below fifteen per cent of the amount of deposits maturing, until the end of the current financial year and the next financial year.*".

33. Substituted by the Companies (Acceptance of Deposits) Amendment Rules, 2018 vide Notification No. G.S.R. 612(E). dated 5th July, 2018, w.e.f. 15.08.2018, for the sub-clause "(k) details of deposit insurance including extent of deposit insurance;".
34. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2022 vide Notification No. GSR 663(E) dated 29.08.2022, w.e.f. 29.08.2022.
35. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2019 vide Notification No. G.S.R. 42(E) dated 22th January, 2019, w.e.f. 22.01.2019.
36. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2016 vide Notification No. G.S.R. 639(E) dated 29th June, 2016, 29.06.2016.
37. Inserted by the Companies (Acceptance of Deposits) Amendment Rules, 2019 vide Notification No. G.S.R. 42(E) dated 22th January, 2019, w.e.f. 22.01.2019.
38. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2019 vide Notification No. G.S.R. 341(E) dated 30thApril, 2019, w.e.f. 30.04.2019, for the words "*the date of publication of this notification in the Official Gazette*".
39. Substituted by the Companies (Acceptance of Deposits) Second Amendment Rules, 2019 vide Notification No. G.S.R. 341(E) dated 30thApril, 2019, w.e.f. 30.04.2019, for the words "*ninety days from the date of said publication of this notification*".